large array of investment models to assist in asset allocation and portfolio construction. Unfortunately, investors do not have nearly the same quantity of trading tools to analyze implementation decisions. The quality of trading tools has changed significantly with the rise of portfolio trading tools and transition management. With the advent of algorithmic trading these tools are being developed further and gaining greater traction.

CLASSIFICATIONS OF ALGORITHMS

One of the more unfortunate events in the financial industry is the proliferation of the algorithmic nomenclature used to name trading algorithms. Brokers have used catchy names and phrases for the algorithms to have them stand out from competitors rather than using naming conventions that provide insight into what it is that the algorithm is trying to accomplish. While some of the industry algorithms do have logical, descriptive names, such as "VWAP," "TWAP," "Arrival Price," and "Implementation Shortfall," there are many others such as "Tarzan," "Bomber," "Lock and Load," and one of the all-time favorites "The Goods," although this name is soon to be replaced. None of these catchy names offer any insight into what it is that the algorithm is trying to accomplish or the actual underlying trading strategy.

As a way to shed some light on the naming convention used, we suggest classifying algorithms into one of three categories: Aggressive, Working Order, and Passive. These are as follows:

Aggressive: The aggressive family of algorithms (and sometimes hyper-aggressive strategies) are designed to complete the order with a high level of urgency and capture as much liquidity as possible at a specified price or better. These algorithms often use terminology such as "get me done," "sweep all at my price or better," "grab it," etc.

Working Order: The working order algorithms are the group of algorithms that look to balance the trade-off between cost and risk, as well as the management of appropriate order placement strategies through appropriate usage of limit/market orders. These algorithms consist of VWAP/TWAP, POV, implementation shortfall (IS), arrival price, etc.

Passive: The passive family of algorithms consists of those algorithms that seek to make large usage of crossing systems and dark pools. These algorithms are mostly designed to interact with order flow without leaving a market footprint. They execute a majority of their orders in the dark pools and crossing networks.